

M/s Azad Ice Factory v. State of U.P.

High Court of Judicature at Allahabad · Division Bench · 1 February 2021 · Writ-C No. 1950 of 2021 · **Writ disposed; recovery stayed on 50% deposit, balance in two bi-monthly instalments.**

HEADNOTE

Without entering into the merits, the Allahabad High Court kept recovery of electricity dues in abeyance on deposit of 50% of the demanded amount within two months, with the balance—after adjusting security and amounts already paid—to be deposited in two equal bi-monthly instalments under the clause 6.14 framework. Default restored the licensee's liberty to recover in accordance with law.

FACTUAL SUMMARY

M/s Azad Ice Factory challenged a 19 February 2020 recovery letter under Rule 141(3) of the U.P. Revenue Code Rules, 2016 for electricity dues of Rs.63,83,475/-, seeking bill revision after adjusting security and other deposits and interest-free instalments. At hearing it confined itself to easy instalments after adjusting security and prior payments. The Power Corporation submitted that clause 6.14 of the Supply Code, 2005 permitted instalment consideration if at least 50% of the demand was deposited.

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.14

instalment facility for outstanding electricity dues

HOLDING

Without entering into the merits of the Rule 141(3) recovery letter or the pending bill-revision representation, recovery of electricity dues shall remain in abeyance if the consumer deposits 50% of the demanded amount within two months; the balance, after adjusting security deposit and amounts already paid, is to be deposited in two equal bi-monthly instalments, failing which the licensee may recover in accordance with law, consistently with clause 6.14 of the Supply Code, 2005. ¶ 1

PRINCIPLE TAGS

installment-payment-clause-6.14 The Court structured writ relief on the clause 6.14 instalment facility as put by the licensee: 50% of the demand within two months to keep recovery in abeyance, remainder in two equal bi-monthly instalments after adjusting security and prior deposits. ¶ 1

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — VALIDITY OF THE 19 FEBRUARY 2020 RECOVERY LETTER UNDER RULE 141(3) OF THE U.P. REVENUE CODE RULES, 2016

The Court expressly did not enter into the merits; recovery was only kept in abeyance on conditions. ¶ 1

NOT DECIDED — PENDING 28 OCTOBER 2020 REPRESENTATION FOR REVISING THE BILL AFTER ADJUSTING SECURITY AND OTHER DEPOSITS

No direction to decide or revise the bill; security and prior deposits were adjusted only in computing the instalment balance. ¶ 1